Welfare Reform, 1996: How Dependency Beat Poverty

POSC 459 — Social Welfare Politics and Policy

Week 9 · Monday, October 19 · **Asynchronous**

Read with Béland and Waddan open. Page numbers are theirs.

This week, no meetings

Read	Béland and Waddan, "Welfare Reform, 1996" (this deck) · Campbell chs. 4–5 and *Poorly Understood* §IV (Wednesday's deck)
Watch	*Two American Families* (Frontline, 1 hr. 54 min.). Start early
Write	Discussion Paper 3, **Friday 10/23, 11:59 p.m.**
Start	Policy brief draft, due **Wednesday 10/28**

Wednesday's deck posts Wednesday. Questions by email. See you **Monday 10/26**.

How to use this deck

1. Read the chapter first, or alongside. The slides are a map, not a substitute.
2. Each slide names the pages it draws on. Check one or two against the text.
3. Slides marked → **paper** hold claims you could use for Discussion Paper 3, step 2.
4. The last three slides set up the film.

One chapter, one question: **why could Congress end AFDC when it could not touch Social Security or Medicare?**

The law, in one slide

PRWORA, signed August 22, 1996. AFDC (1935) ends. TANF begins.

Provision	Rule
Entitlement	**Gone.** Fixed block grant to states, frozen through 2002
Time limit	**Five years**, lifetime, on federal cash aid
Work	Work activity after **two years** on the rolls
States	Must keep spending at **80%** of prior levels · may exempt **20%** of caseload · may add a family cap
Family	Title I opens with marriage: "an essential institution of a successful society"

4.5 million families were on AFDC in 1996. 302,000 were two-parent AFDC-UP cases.

pp. 24–25, 61–62

The puzzle

A Democratic president signed rules that "would have been denounced as . . . right-wing extremism a quarter century earlier."

p. 24

Why welfare and not Social Security? Why 1996 and not 1970, 1977, or 1988? Who owned the issue, and when did it change hands?

Four tools the chapter uses

Tool	Meaning here	You met it in
Policy legacies	AFDC never earned the standing Social Security had	Pierson, Week 4
Issue ownership	Which party the public trusts on "welfare"	new
Ideas	The problem is redefined: **poverty → dependency**	Howard, Week 2
Institutions	Veto points block reform; **layering** (state waivers) erodes it	Hacker's drift, Week 4

Hold all four. The conclusion (pp. 68–71) scores them.

1935: born unequal

- **Not earned.** No payroll contribution, so no claim to have "earned" it
- Run by the **Social Security Board**, not the Children's Bureau
- Southern members of Congress strip the federal standards. Witte: no other federal aid law "has ever gone to such lengths to deny the federal government supervisory power"
- Eligibility by "worthiness": widows, a few deserted mothers, midnight raids
- Most Black mothers in the South excluded

1940 average monthly benefit	
National	**$32.39**
Alabama	**$13.63**

pp. 26–27

The 1960s: an entitlement by accident

Families on AFDC, monthly avg.	
1950	651,000
1960	803,000
1970	**1.9 million**

- Approval rate for applicants: **one-third** (1960) → **90%** (1971)
- Cost: **$1 billion** (1960) → **$6.2 billion** (1971)
- Who opened the door: **the Supreme Court**, not Congress. Residency rules, "substitute father" rules, man-in-the-house raids struck down

Nobody in Congress claimed credit. Conservatives later claimed the champions of welfare were "out of touch." The legacy was set.

pp. 29–30

The road not taken: a guaranteed income

Nixon's Family Assistance Plan, 1969–70. A negative income tax.

- **$1,600** a year for a family of four, phasing out at **$3,920**
- Passed the House **243–155**. Died in Senate Finance, **10–6**
- Killed from both sides: conservatives (Reagan, Agnew) and the welfare-rights left (NWRO wanted **$5,500**)
- Would have remade the South: Mississippi AFDC paid **$46 a month**; a quarter of Louisiana would have qualified

Then **HR 1** (1971, $2,400) and Carter's **PBJI** (1977, plus 1.4 million public jobs). Both died. "The demise of PBJI marked the end of plans for a guaranteed annual income."

pp. 31–35

Why the dead plan matters

A negative income tax sorts people **by income**. AFDC sorted them **by worthiness**.

- FAP "concentrate[d] on outcome rather than cause" (Barr, p. 32)
- Liberals called $1,600 "nothing new, nothing startling." It was both
- What passed instead: the **EITC**, 1975. Help for the *working* poor only, so the deserving/undeserving line is **reinforced**, not erased
- 1972 GOP platform: "We flatly oppose . . . a government-guaranteed income"

By the 1990s, "forced work requirements," the phrase Democrats used against Nixon, was mainstream in both parties.

pp. 34–36

Drift: the program stood still, the country moved

Share of the poor under 65	1960	1980
In male-headed households	65%	44.6%
In female-headed households	21.2%	**42.2%**

Mothers of children under 6 in paid work	
1960	under 20%
1991	**58%**

Heclo: "a program that stays the same while the society around it is changing can actually amount to a transformed policy." A benefit built so mothers could stay home now looked like a subsidy for not working.

pp. 37–38, 58 · Hacker's drift, Week 4

The battle of ideas, 1981–1987

Author	Claim	Remedy
Gilder, *Wealth and Poverty* (1981)	Welfare erodes marriage and work	cut it
Murray, *Losing Ground* (1984)	Rising rolls and births out of wedlock are "rational responses to changes in the rules"	the "thought experiment": scrap all aid to working-age adults
Mead (1986–92)	The poor need the discipline of work	"new paternalism": requirements, sanctions, and government help to comply
Working Seminar (1987)	"Money income alone does not define poverty"	time limits, sanctions, devolution

Haskins on the Seminar: it "uncannily anticipated several major provisions of the 1996 reform." PRWORA looks like Mead, not Murray.

pp. 38–41

The liberal response: "an uncertain trumpet"

- **William Julius Wilson** (1987): the cause is inner-city joblessness, not values. Acclaimed, and still outgunned. Liberals "lacked a convincing rebuttal"
- **David Ellwood**, *Poor Support* (1988): a liberal proposes **time limits**, paired with a guaranteed government job for anyone who cannot find one
- Ellwood joins the Clinton White House, drafts the 1994 bill, then **resigns and opposes PRWORA**

The left's own expert moved the line. The final law kept his limit and dropped his job guarantee.

pp. 41–43

Reagan: cuts, rhetoric, and a staging post

OBRA 1981. Income and asset limits tightened. About **400,000** families off the rolls, **300,000** more cut. Earnings disregards capped at four months, so working while on AFDC stopped paying.

1986 State of the Union: the "spider's web of dependency." **1988:** "a poverty trap . . . Dependency has become the one enduring heirloom."

Family Support Act, 1988. JOBS training, **20%** of caseload enrolled by 1995, AFDC-UP mandatory, Medicaid for twelve months after leaving. **$3 billion** over five years.

Weaver: "full of compromises." Mead: "the conservative side of the act was more notable." A staging post, not a destination.

pp. 43–46

The "crisis" and who owned it

AFDC recipients	
1980	10.6 million
1988	10.9 million
1992	**13.6 million**

- Polls, 1994: **89%** back a two-year limit followed by work; **76%** say no raise for another baby. **75%** say welfare makes people "too dependent"
- Gilens: after the mid-1960s the news pictured welfare as Black. "The symbolic power of welfare . . . stems in large measure from its racial undertones"
- Welfare had become **a Republican issue**. Then a governor from Arkansas took it

pp. 46–48 · Gilens returns in Week 12

October 23, 1991

"In a Clinton administration we're going to put an end to welfare as we know it."

Democratic pollster Celinda Lake called the line "pure heroin."

pp. 48–49

Clinton's own bill, 1994: a Ferrari and a Yugo

Work and Responsibility Act. Two years of cash, then community work. School for teen mothers. Name the father. Family cap as a state option.

- Had to be budget-neutral: **$9.3 billion** over five years, mostly from cutting aid to legal immigrants
- Projected result: **170,000** of **5 million** adults in subsidized jobs by 1999
- Inside fight: **Ellwood** (help as long as you try) vs. **Reed** (a real end date)
- Liberals: Matsui derides Ellwood at the hearing. Gingrich: "The President is brilliant at describing a Ferrari, but his staff continues to deliver a Yugo"

Crowded out by the budget, NAFTA, and health care. Never moved.

pp. 49–51

Waivers: layering from the states

- Reagan, 1988: "a thousand sparks of genius in 50 states." Clinton, 1993: streamlines the waiver process
- By 1996 **more than half the states** run statewide AFDC experiments
- **Riverside, California (GAIN):** "get a job, any job" beats education and training in five other counties. **Work first** becomes the lesson
- **Wisconsin, Gov. Tommy Thompson:** the vanguard. "No longer would we have to go to Washington and kiss somebody's ring." Mead: "Without Wisconsin's example, PRWORA would have been less radical"

The evidence was "mixed and inconclusive." The political use of it was not. Pilots "made time-limited welfare a reality and took away the argument that it could not be done" (Rogers-Dillon).

pp. 51–55 · → **paper**

Fifty programs before there were fifty programs

AFDC income as a share of the poverty line, 1995:

Louisiana	**16.2%**
Alabama, Texas	16.5%
National average	**41%**
California, Connecticut	just over 60%
Alaska	**88.9%**

Variation came first. Block grants ratified it. Campbell's "fifty different worlds" (Wednesday) starts here.

p. 52

1995: Congress moves right, then further right

- **Contract with America** → the **Personal Responsibility Act**: five-year limit, 35 hours of work after two years
- The leadership's milder **HR 3500** attacked from the right by Heritage (**Robert Rector**) as not "real reform." The pattern: denounce the moderate bill, write the "real" one, lobby
- **Block grants** buy the governors. Frozen grants looked fine because rolls were already falling
- Overreach: Gingrich's orphanages talk. Democrats win that round
- Democrats' alternative (Deal bill): a **four-year** limit. "An extraordinarily conservative measure." Loses anyway
- House passes **234–199**. Senate, with Clinton's endorsement, **87–12**

After the Senate vote, hard time limits and the end of entitlement were the consensus. The only question was how far right the conference would go.

pp. 55–60

Two liberals hand Republicans a number

Bane and Ellwood, 1994. Same data, three ways to count.

Method	Share of AFDC mothers in spells of 10+ years
Of those **beginning** a spell	**14%**
Of those on the rolls **at a point in time**	**48%**
Counting **recipients**, not spells (on and off)	**56.6%**

"Long term use of welfare is a very real and potentially quite costly phenomenon." Republicans "enthusiastically, if selectively, brandished" it.

Week 1 again: flow is not stock. Which number answers which question?

p. 58 · → **paper**

Two vetoes, one signature

- **Veto 1**, Dec. 1995: welfare rides inside the budget bill; Clinton wins the shutdown fight on **Medicare**, not welfare
- **Veto 2**, Jan. 1996: food stamp and school lunch cuts
- What changes: Thompson replaces Dean at the NGA; Dole leaves the Senate; Republicans fear losing Congress and want a law to campaign on. They send a **stand-alone bill** with no cover for a veto
- **August 1 meeting.** Shalala, Panetta, and the policy staff: veto. Reed, the political staff, and Hillary Clinton: sign. Dick Morris: a veto turns "a fifteen-point win into a three-point loss." Stephanopoulos: his "heart urged a veto, while his head calculated the risk"

Final votes	House	Senate
	328–101	**78–21**
Democrats	98–98	25–21

pp. 60–63

Two senators from New York

"This bill is not welfare reform, but welfare repeal. . . . Do not doubt that Social Security itself . . . will be next."

— Moynihan (D)

"To continue business as usual . . . would have been . . . a conspiracy to continue to keep our people on that narcotic."

— D'Amato (R)

p. 63

Did it work? Depends on the column

Claim of success	Claim of failure
Families on rolls: **4.415 million** (Aug. 1996) → **2.453 million** (Sept. 1999), **−44%**	Eligible families actually served: **84%** (1995) → **40%** (2005)
Never-married mothers moving welfare-to-work: **+50%**, 1993–99	More single parents **neither working nor on aid**
Shaw, 2006: "one of the most successful policy changes in our nation's history"	Caseload **+13%** Dec. 2007–Dec. 2009 while **unemployment doubled**

DRA 2005 resets the caseload-reduction baseline from FY 1995 to FY 2005, so states must push more families to work or off the rolls. HHS: the credit had "inadvertently undermined" work requirements.

pp. 63–68 · → **paper** · Rank §IV asks the same question

No one came back for it

- 2000: Gore attacks Bradley for voting **against** PRWORA
- 2002–05: the fight is over **40 hours vs. 30**, and Senator Hillary Clinton proposes **37**
- 2008: Obama calls it "an imperfect reform" that "desegregate[d]" the deserving and undeserving poor. Hillary Clinton: AFDC "should not be considered an anti-poverty program. It did not work"
- 2009: ARRA adds a **$5 billion** TANF emergency fund. Senate Republicans let it lapse in 2010
- Krugman: hardship, yes, but "welfare reform took that issue off the table"

Soss and Schram (grad reading) test the hope that ending welfare would move public opinion left. It didn't.

pp. 64–68

The answer: why welfare, and not Social Security

	AFDC	Social Security
Legacy	Not earned; no constituency; even recipients blamed other recipients; waivers hollowed out the bureaucracy	"Earned"; a mass constituency; the 1995 shutdown was won defending it
Ownership	Shifted to Republicans by the 1980s; Clinton stole it back only by attacking the program	Democrats, still
Ideas	Problem redefined from **poverty** (what the poor are owed) to **dependency** (what kind of citizens the rules produce)	No equivalent reframing stuck
Institutions	Veto points held in 1970, 1977, 1994; breached when a disciplined GOP Congress met a president who had promised reform	Veto points held

Carry into the film

Two American Families follows two Milwaukee households from 1991 to 2024. **Milwaukee is in Wisconsin.** You just read about Wisconsin.

Watch for:

1. **Work first.** What does "a job, any job" look like inside one kitchen?
2. **The 40%.** Where does a family fall out of a program it qualifies for?
3. **Drift.** Who in the household works, and did the rules notice?
4. **Flow and stock.** Is this family a spell or a lifetime?
5. **The claim of success.** Rolls fell 44%. Would these families count as a success in that number?

Two households are not national data. That gap is **step 4** of the paper.

Discussion Paper 3, due Friday 10/23, 11:59 p.m.

About **600 words**. One moment, one claim.

1. **One moment** from the film: a scene, person, or decision I could find.
2. **One claim** from the readings about what reform did, with a **page number**. Candidates from this chapter: the 44% drop (p. 63); 84% → 40% of eligibles (p. 67); work-first beats training (p. 53); Bane and Ellwood's 48% (p. 58); the +13% caseload in the recession (p. 68).
3. **Support or challenge?** Show how.
4. **Which do you trust more** on this point, the film or the reading, and why. Say which kind of evidence fits the claim.

Wednesday's deck adds Campbell and Rank claims. The prompt is on Canvas.

Wednesday

Campbell, chs. 4–5: how means-tested programs keep people poor, and fifty different worlds of social assistance

***Poorly Understood*, §IV:** does welfare work?

Deck posts Wednesday. Film by Friday. Paper Friday night.

Email me with questions. Monday 10/26: health care reform and the ACA.